

Signal Versus Noise

The whole skill of a run chart comes down to one question: is this a signal, or just noise?

Dave's Rollercoaster

Dave ran a call center, and his metric was average handle time. One week it dropped from twelve minutes to ten and a half. He celebrated and credited a new script. The next week it bounced to twelve and a half, so he panicked and called a meeting. Up, down, celebrate, panic, reacting to every bump as if it meant something.

What Noise Is

Every process is noisy. It varies naturally week to week even when nothing has changed. Twelve, then ten and a half, then twelve and a half is not a story; it is a process being normal. This is common cause variation, like a commute that takes twenty minutes one morning and twenty-three the next. On a run chart it is a gentle wiggle in a steady band. The right response is to do nothing.

What Signal Is

Signal is special cause variation, something genuinely changed that you can name. It announces itself in patterns. A single point leaping far outside the band, like the morning an accident shut the highway. A trend of several points heading one direction. Or a shift, a run of points jumping to a new level and holding, like dropping to nine minutes for eight straight weeks.

Remember this

A single low week is noise; eight low weeks in a row is the process actually moving.